

held by persons would retain its long term value and not depreciate. By balancing the central bank interest rate with the rate of currency deflation, a nominal interest rate of zero could be achieved. This is an ongoing debate depending on various factors of an economy intended to outline the ideally preferred scenario.

Money illusion

This term defines the conceptual flaw in thinking when referring to the value of money over time. A simple example is that in the if the price of an ice cream in year 2000 was 10 rupees, the expectation in the minds of people is that it will continue to be 10 rupees in 2014 even though the value



RBI – the only bank in country which doesn't take deposits or issue cash to people.

of the 10 rupees has reduced since 2000. That is, the face value of money is mistaken as its real value or purchasing power. However, as we know since fiat currencies have no intrinsic value, the face value of currency can remain the same while its real value continuously fluctuates. People continue to not recognise this in certain situations - a common example being when in experiments they consider a 2 percent reduction in income with steady prices as unfair but consider a 2 percent increase in income with 4 percent inflation as being fair, even though both scenarios are mathematically identical. 